

Digital Currency (CBDC), which is likely to change the contours of transactions in the future. As and when it happens, clear protocols will need to be developed to govern cross-border transactions using CBDC.

The banking system will continue to be the backbone of the economy. This time, technological and product innovations will determine its role as financiers to an economy running a marathon defined by new realities.

On its part, banks have the responsibility to drive financial

In the current integrated environment, partnerships among financial institutions will play a critical role. They will continue to invest in digitisation as it has a direct impact on their cost of services and their ability to acquire or cater to customers irrespective of where they are. While digitisation is being built at various stages of the customer journey, a true end-to-end digital experience will need to be built for customers across the spectrum.

Meanwhile, AI will continue to

In addition to boosting the national growth rate, effective use of AI can address some of the major challenges in India such as access to quality healthcare, education and financial inclusion.

Going forward, reliance on cloud technology by banks will also increase. The next generation of core banking transformations in India will be fuelled by application programming interfaces (API) and micro-services architecture, allowing granular services to be deployed and scaled independently.

Blockchain and Distributed Ledger Technology (DLT) that allows the storage and synchronisation of financial transactions in multiple locations of a distributed network of participants at the same time, is on a path to disrupt established banking protocols. Cross-chain technology will facilitate blockchain interoperability across payments processing, supply chains and other areas. The DLT will increasingly make an impact on government policymaking and regulation, as CBDC initiatives come to fruition.

For the banking sector, though, no work will be complete unless it is able to meaningfully serve the semi-urban and rural markets. This market is going through a transformation of its own, backed by the improvement in physical and digital infrastructure, launch of various government schemes to improve livelihoods, diversification of income, greater agriculture productivity, and the growing aspirations of people. Such changes offer a significant growth and market share opportunity for financial institutions. We have already witnessed this growth within our bank and that makes us all the more bullish on the 'Bharat' story. **BT**

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inclusion by extending credit to many more people. As of December 2021, around half of the banking customers in the country remained unserved. In contrast, in developed countries, customers without credit history are in single digits. It is expected that the India Open Credit Enablement Network construct will speed up models for fintech credit, standardising the flow of information between all stakeholders in the credit system.

drive value for the global economy. Contemporary research pegs the potential contribution from AI to global GDP at around \$15 trillion by the end of this decade. A big proportion of this value generation is likely to be for the global banking industry. Rather than using AI for specific use-cases, the transformation of operations by strategically using AI across the digital lifecycle will become an increasingly popular theme across banks.